INFLATION, PRICE INDICES AND BUSINESS CYCLES

THREE PRICE-LEVEL STATES → CPI-WPI-DEFLATOR MATRIX → DEMAND-PULL CHAIN → SUPPLY-SHOCK CHAIN → OUTPUT GAP FORK → EXPECTATIONS LOOP

Read the thick cyan rail from Stage 00 to the final core synthesis. Each card uses a concept-appropriate structure; the grey E card is optional enrichment only and never repairs missing core content.

● PRIMARY CORE FLOW ● SUBORDINATE EXTRA ● APPROVAL / REVIEW

CORE BEFORE EXTRA • prior artefacts unchanged • exact same master drives poster and tiles

Approval: FALSE • Pending user review • source generation g3 and all prior artifacts unchanged

00

STAGE 00 THREE PRICE-LEVEL STATES

THREE PRICE-LEVEL STATES | PRICES RISE | PRICES RISE MORE SLOWLY | GENERAL PRICE LEVEL FALLS | RATE CHANGE IS NOT LEVEL CHANGE | MUST REMEMBER | INFLATION IS A SUSTAINED INCREASE IN A CHOSEN PRICE

INFLATION → prices rise

DISINFLATION → prices rise more slowly → DEFLATION → general price level falls → TRAP → rate change is not level change

CORE CLAIM
- INFLATION → prices rise
- DISINFLATION → prices rise more slowly

MECHANISM
- DEFLATION → general price level falls
- TRAP → rate change is not level change

CONSEQUENCE / LIMIT
- MUST REMEMBER: Inflation is a sustained increase in a chosen price index; distinguish...
- INFLATION → prices rise

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: TRAP → rate change is not level change.

01

STAGE 01 CPI-WPI-DEFLATOR MATRIX

CPI-WPI-DEFLATOR MATRIX | RETAIL BASKET + SERVICES | WHOLESALE GOODS, NO SERVICES | GDP DEFLATOR | DOMESTIC FINAL OUTPUT | POLICY ANCHOR | HEADLINE CPI

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
CPI → retail basket + services	GDP DEFLATOR → domestic final output	CPI → retail basket + services
WPI → wholesale goods, no services	POLICY ANCHOR → headline CPI	WPI → wholesale goods, no services

CORE CLAIM
- CPI → retail basket + services
- WPI → wholesale goods, no services

MECHANISM
- GDP DEFLATOR → domestic final output
- POLICY ANCHOR → headline CPI

CONSEQUENCE / LIMIT
- CPI → retail basket + services
- WPI → wholesale goods, no services

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: GDP DEFLATOR → domestic final output; POLICY ANCHOR → headline CPI.

02

STAGE 02 DEMAND-PULL CHAIN

DEMAND-PULL CHAIN | SPENDING AVAILABLE OUTPUT | INVENTORIES AND SPARE CAPACITY SHRINK | FIRMS RAISE PRICES | DEMAND RESTRAINT CAN WORK

SPENDING AVAILABLE OUTPUT

inventories and spare capacity shrink → firms raise prices → POLICY → demand restraint can work

CORE CLAIM
- SPENDING AVAILABLE OUTPUT
- inventories and spare capacity shrink

MECHANISM
- firms raise prices
- POLICY → demand restraint can work

CONSEQUENCE / LIMIT
- SPENDING AVAILABLE OUTPUT
- inventories and spare capacity shrink

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: firms raise prices; POLICY → demand restraint can work.

03

STAGE 03 SUPPLY-SHOCK CHAIN

SUPPLY-SHOCK CHAIN | LOGISTICS SHOCK | COSTS OR AVAILABILITY WORSEN | PRICES RISE DESPITE WEAK DEMAND | REPAIR SUPPLY + ANCHOR EXPECTATIONS

CROP / OIL / LOGISTICS SHOCK → costs or availability worsen → prices rise despite weak demand → POLICY → repair supply + anchor expectations

CORE CLAIM
- CROP / OIL / LOGISTICS SHOCK
- costs or availability worsen

MECHANISM
- prices rise despite weak demand
- POLICY → repair supply + anchor expectations

CONSEQUENCE / LIMIT
- CROP / OIL / LOGISTICS SHOCK
- costs or availability worsen

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: prices rise despite weak demand; POLICY → repair supply + anchor expectations.

04

STAGE 04 OUTPUT GAP FORK

OUTPUT GAP FORK | NEGATIVE GAP | WEAK DEMAND | POSITIVE GAP | OVERHEATING RISK | SUPPLY SHOCK | INFLATION CAN COEXIST WITH NEGATIVE GAP | INFLATION + WEAK GROWTH

CORE CLAIM
- NEGATIVE GAP → weak demand
- POSITIVE GAP → overheating risk

MECHANISM
- SUPPLY SHOCK → inflation can coexist with negative gap
- STAGFLATION → inflation + weak growth

CONSEQUENCE / LIMIT
- NEGATIVE GAP → weak demand
- POSITIVE GAP → overheating risk

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: SUPPLY SHOCK → inflation can coexist with negative gap.

05

STAGE 05 EXPECTATIONS LOOP

EXPECTATIONS LOOP | PRICE SHOCK | WAGE AND PRICE EXPECTATIONS | SECOND-ROUND ADJUSTMENTS | PERSISTENCE BEYOND INITIAL SHOCK | CLOSE DISTINCTION | PRICE LEVEL IS NOT INFLATION RATE, FALLING INFLATION IS

PRICE SHOCK → wage and price expectations → second-round adjustments → persistence beyond initial shock → CLOSE DISTINCTION: Price level is not inflation rate, falling inflation is not falling

CORE CLAIM
- PRICE SHOCK
- wage and price expectations

MECHANISM
- second-round adjustments
- persistence beyond initial shock

CONSEQUENCE / LIMIT
- CLOSE DISTINCTION: Price level is not inflation rate, falling inflation is not falling...
- PRICE SHOCK

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CLOSE DISTINCTION: Price level is not inflation rate, falling inflation is not falling.

06

STAGE 06 POLICY ASSIGNMENT BOARD

POLICY ASSIGNMENT BOARD | RATES + LIQUIDITY + COMMUNICATION | BUFFERS + TAX + TRADE | LOGISTICS + ENFORCEMENT | TOOL MUST MATCH SHOCK

RBI → rates + liquidity + communication

GOVERNMENT → buffers + tax + trade → STATES → logistics + enforcement → RULE → tool must match shock

CORE CLAIM
- RBI → rates + liquidity + communication
- GOVERNMENT → buffers + tax + trade

MECHANISM
- STATES → logistics + enforcement
- RULE → tool must match shock

CONSEQUENCE / LIMIT
- RBI → rates + liquidity + communication
- GOVERNMENT → buffers + tax + trade

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: STATES → logistics + enforcement; RULE → tool must match shock.

07

STAGE 07 INDIA SHOCK TIMELINE

INDIA SHOCK TIMELINE | LOCKDOWN LOGISTICS SHOCK | GLOBAL COMMODITY SURGE | FORMAL CPI-TARGETING FRAMEWORK | DEMAND AND SUPPLY CAN CONFLICT

2020 → lockdown logistics shock → 2021-22 → global commodity surge → 2016 → formal CPI-targeting framework → LESSON → demand and supply can conflict

CORE CLAIM
- 2020 → lockdown logistics shock
- 2021-22 → global commodity surge

MECHANISM
- 2016 → formal CPI-targeting framework
- LESSON → demand and supply can conflict

CONSEQUENCE / LIMIT
- 2020 → lockdown logistics shock
- 2021-22 → global commodity surge

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: 2016 → formal CPI-targeting framework; LESSON → demand and supply can conflict.

08

STAGE 08 DISTRIBUTIONAL INCIDENCE

DISTRIBUTIONAL INCIDENCE | HIGH FOOD AND FUEL SHARE | FIXED INCOME | REAL PURCHASING POWER FALLS | INDEXED WORKERS | PARTIAL PROTECTION | BORROWERS AND MSMES BEAR COSTS

POOR → high food and fuel share

FIXED INCOME → real purchasing power falls → INDEXED WORKERS → partial protection → TIGHTENING → borrowers and MSMEs bear costs

CORE CLAIM
- POOR → high food and fuel share
- FIXED INCOME → real purchasing power falls

MECHANISM
- INDEXED WORKERS → partial protection
- TIGHTENING → borrowers and MSMEs bear costs

CONSEQUENCE / LIMIT
- POOR → high food and fuel share
- FIXED INCOME → real purchasing power falls

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: INDEXED WORKERS → partial protection; TIGHTENING → borrowers and MSMEs bear costs.

09

STAGE 09 BUSINESS-CYCLE RAIL

BUSINESS-CYCLE RAIL | POLICY DEPENDS ON OUTPUT GAP AND SHOCK | PHILLIPS CURVE | GUIDE, NOT LAW

TROUGH → RECOVERY → EXPANSION → PEAK → SLOWDOWN / RECESSION → POLICY DEPENDS ON output gap and shock → PHILLIPS CURVE → guide, not law

CORE CLAIM
- TROUGH → RECOVERY → EXPANSION
- PEAK → SLOWDOWN / RECESSION

MECHANISM
- POLICY DEPENDS ON output gap and shock
- PHILLIPS CURVE → guide, not law

CONSEQUENCE / LIMIT
- TROUGH → RECOVERY → EXPANSION
- PEAK → SLOWDOWN / RECESSION

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: POLICY DEPENDS ON output gap and shock; PHILLIPS CURVE → guide, not law.

10

STAGE 10 INDEX-SERIES BREAK

INDEX-SERIES BREAK | CPI 2024=100 | RELEASES FROM JAN 2026 | WPI 2022-23 BASE | MAY 2026 ONWARD | NEW BASKET | NEW INFLATION | NO CASUAL LEVEL SPLICING

CPI 2024=100 → releases from JAN 2026 → WPI 2022-23 base → MAY 2026 onward → NEW BASKET != NEW INFLATION → RULE → no casual level splicing

CORE CLAIM
- CPI 2024=100 → releases from JAN 2026
- WPI 2022-23 base → MAY 2026 onward

MECHANISM
- NEW BASKET != NEW INFLATION
- RULE → no casual level splicing

CONSEQUENCE / LIMIT
- CPI 2024=100 → releases from JAN 2026
- WPI 2022-23 base → MAY 2026 onward

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: NEW BASKET != NEW INFLATION; RULE → no casual level splicing.

11

STAGE 11 INFLATION ANSWER SPINE

INFLATION ANSWER SPINE | IDENTIFY INDEX + COMPONENT | DIAGNOSE DEMAND | TRACE EXPECTATIONS + DISTRIBUTION | PRESCRIBE COORDINATED POLICY MIX | EVIDENCE LIMIT | STATE INDEX, WEIGHTS/BASE, MONTH OR YEAR

IDENTIFY index + component → DIAGNOSE demand / cost / supply → TRACE expectations + distribution → PRESCRIBE coordinated policy mix → EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: State index, weights/base, month or year

CORE CLAIM
- IDENTIFY index + component
- DIAGNOSE demand / cost / supply

MECHANISM
- TRACE expectations + distribution
- PRESCRIBE coordinated policy mix

CONSEQUENCE / LIMIT
- EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: State index, weights/base, month or year...
- IDENTIFY index + component

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: State index, weights/base, month or year.

E

EXTRA SUBORDINATE ENRICHMENT — ONLY AFTER THE COMPLETE CORE

OPTIONAL ADVANCED ENRICHMENT | DISTINGUISH FIRST-ROUND SUPPLY SHOCKS FROM SECOND-ROUND GENERALISATION THROUGH WAGES | REAL INTEREST RATE IS APPROXIMATELY THE NOMINAL RATE MINUS | INDEX WEIGHTS, BASE YEARS, OUTLET COVERAGE, QUALITY ADJUSTMENT AND | A CPI OR WPI BASE REVISION CHANGES WEIGHTS, COVERAGE | OUTPUT GAPS HELP EXPLAIN DEMAND PRESSURE BUT ARE UNCERTAIN | FOOD INFLATION IN INDIA HAS STRONG WEATHER, STORAGE, TRADE-POLICY | BUSINESS CYCLES MAY BE DEMAND-LED, FINANCIAL-CYCLE-LED, INVENTORY-LED OR SUPPLY-LED

OPTIONAL SOURCE DEPTH
- CAUTION: Distinguish first-round supply shocks from second-round generalisation through wages,
- CAUTION: Real interest rate is approximately the nominal rate minus expected inflation, not
- CAUTION: Index weights, base years, outlet coverage, quality adjustment and substitution affect
- CAUTION: A CPI or WPI base revision changes weights, coverage and sometimes method; it is not

ADVANCED DEBATE
- CAUTION: Output gaps help explain demand pressure but are uncertain and revised in real time.
- CAUTION: Food inflation in India has strong weather, storage, trade-policy and inter-state
- CAUTION: Business cycles may be demand-led, financial-cycle-led, inventory-led or supply-led,
- MoSPI: compiles CPI and its consumer-group and spatial components.

LEGACY / NUANCE
- Office of the Economic Adviser: compiles WPI for wholesale goods.
- RBI and MPC: target headline CPI and calibrate the policy rate and communication.
- Union and state food-management agencies: use stocks, logistics, trade and anti
- CAUTION: A weather-driven vegetable spike can lift headline CPI even when demand-sensitive core

OPTIONAL STATUS — This optional depth is unnecessary for a competent core answer; use it only for added nuance after the complete core has been written.

END OF MASTER CANVAS • poster embeds this exact master • tiled pages are overlapping crops of the same pixels